

to Italy, the UK, Germany and Australia, and has more than 600 employees across his units: "The government's policy and environmental rules and regulations have made it difficult for us to survive and the downfall had begun in 2014."

RAQI SAYS LOGISTICS is the biggest challenge for the leather industry of Kanpur: "The government must have a clear policy for logistics and transportation. We send our stuff through Maersk and MSC shipping companies, and now the prices are rising. Earlier we paid \$1,000 per container for the UK, now it has gone up to \$9,000 per container." Rajiv Suri, Chairman of Lex International in Rai Purwa area of Kanpur, who exports saddlery to Germany, the Netherlands, the US, France, Italy and Australia, faces the same issue: "I had to dispatch my consignments to Australia; it has been more than 15 days and I am not able to find a single container."

The industry in unison raises the necessity of having an inland freight subsidy scheme, which they believe is fully WTO compliant. "We have to bear the extra cost of transporting stuff from Kanpur to Nhava Sheva (port) in Mumbai, which Chennai and Kolkata cluster people need not pay. So, we are disadvantaged, and this subsidy scheme is important," says Jalan. In the backdrop of limited freight trains being available, they sometimes have to send consignments via trucks, which is more expensive than freight trains. Industry players say currently there are only two freight trains run by CONCOR (Container Corporation of India) that run twice a week.

In addition to exports, importing components from other